

The complaint

Mr F has complained that T&R Direct Ltd ('T&R'), an insurance broker, provided an inadequate service in arranging an unoccupied property owner's insurance policy for him which amounted to a mis-sale.

What happened

Unfortunately, Mr F suffered the theft of new kitchen appliances from his home in December 2021. He was not in occupation at the time as his home was being renovated and was awaiting installation of the appliances which had been delivered to his home and were still in their original packaging.

T&R were the brokers who arranged Mr F's unoccupied property owner's insurance policy in June 2021. Mr F felt that T&R hadn't adequately explained the terms and conditions of the policy and that as a result, he wasn't covered for theft. He'd expected a policy that would provide the same cover as his previous policy. T&R considered that no policy would provide matching cover in such circumstances and that it had arranged the new policy on a 'non-advised' basis. Mr F therefore referred his complaint to this service as he felt strongly that T&R had failed to provide an adequate service or a policy that met his needs.

The service's investigator didn't uphold Mr F's complaint. He said that the proposal form for the new policy and signed by Mr F explained what was covered by 'standard cover'. This didn't include theft and Mr F didn't choose an extension to the policy to cover theft when the property was going to be vacant for a period. The investigator also concluded that T&R hadn't arranged the policy for Mr F on an 'advised' basis.

Mr F was unhappy with the outcome of his complaint. The matter has therefore been referred to me to make a final decision in my role as Ombudsman.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

The issue for me to determine is whether T&R as an insurance broker provided an unfair or unreasonable service to Mr F, and I can't say that it did so. I'll explain my reasoning after setting out the cases for both parties.

I turn first to Mr F's submissions and evidence. Mr F wanted T&R to pay him the value of his claim, being approximately £10,000. Mr F provided full background details. He said that the crime had been immediately reported upon discovery, a crime reference number was issued by the police and the theft was also promptly reported to T&R. Mr F thought that T&R had failed in the role of broker and hadn't provided reasonable support to him. He thought it had been responsible for '*gross incompetency...*'

Firstly, he said that T&R had recommended an unsuitable policy which didn't meet his needs as a client or match the policy he previously had in place. The only changes he'd needed

were to recognise the change of status of the property to 'unoccupied' and to recognise a change in the level of contents cover. Mr F said that T&R claimed to specialise in providing the insurance needs for customers and felt it hadn't met *'that essential service requirement in merely sending me a misleading and poorly structured form to complete'*. In summary, he said that T&R ineptly advised and indeed, T&R *'...directed to me take the policy.'*

Secondly, Mr F felt that it was reasonable to think that 'standard' policy cover would include cover for theft. He said he'd specifically requested T&R to provide the same level of cover as his previous contents cover. He accepted however that the premiums were higher, to cover fewer household items due to the unoccupied status. He complained that T&R had failed to categorically advise that the policy had less cover than his existing policy. Mr F also thought that T&R should have checked the proposal form to make sure that he'd completed it correctly. He made the point that the previous policy had also been arranged by T&R. He said: - *'at no point was it made clear to me that the new policy was deficient nor that a 'standard' policy would exclude the essential insurance coverage for theft'* which he said was a major exclusion. He added that T&R had a duty to advise clearly if there were *'any aspects of the coverage that were substantially less than what the existing occupied policy offered'*.

Thirdly, Mr F complained that T&R had made verbal and written representations that the claim would be settled and had assured him that *'it was just a matter of time and processing which had been delayed by Covid-19'*. He thought that T&R had no idea of the extent of the policy coverage it had arranged, either when the claim was made or subsequently. Mr F said that T&R had submitted the claim to the underwriter, confirmed it had *'chased it'*, and gave no indication *'to doubt full settlement of the claim would be made less any excess.'*

Finally, Mr F considered that T&R had mis-sold the policy to him and had done so on an 'advised' basis. He said he'd entirely relied upon T&R's advice that the policy was appropriate. Mr F said he wasn't told either verbally or, more appropriately, in written correspondence that this was a non-advised sale.

He concluded by saying that T&R had spent more time and care refuting liability than in advising correctly of the nature of the policy and its limitations.

Mr F had also engaged the services of his own insurance adviser regarding the matter. The adviser made additional points and said that Mr F had read the policy which was at the centre of the dispute. It was his view that a particular clause of that policy *'...fully satisfies us that theft WAS included as part of the policy...'* He said that it was T&R's duty...*'to highlight that theft, being an integral part of the...[policy]...was a MAJOR exclusion...that T&R Direct "advised" [Mr F] to take.'* The adviser considered that this reinforced Mr F's reasonable understanding of the cover provided by the policy T&R had arranged. He also considered that there was no evidence that this was a 'non-advised' policy and said Mr F was reliant on T&R's advice as his established insurance broker. In any event, he thought that T&R should have sold Mr F a 'Residential Unoccupied policy with a works extension' and not an unoccupied property owners policy, which he thought was appropriate for landlords.

I now turn to T&R's submissions and evidence in response to Mr F's complaint. Firstly, as to whether T&R had recommended an unsuitable policy, it noted that Mr F had previously held a standard household policy and that Mr F had telephoned to confirm that he was due to have major works done to his property. It had explained that his current policy would not cover non-occupancy pending works and that there would be a need to look elsewhere for a different type of insurance cover. It said that an alternative insurer agreed to arrange cover but had requested that Mr F completed a proposal form. T&R said;- *'No issues or concerns were queried prior or post completion of the form and therefore must act on the information provided by yourself from this form.'*

Secondly, T&R said the following in response to Mr F's complaint that it had failed to advise that the policy had less cover than his existing policy. It said that it was informed by the insurer that Mr F was required to complete the form and that Mr F completed and signed it. This would enable the insurer to understand Mr F's particular requirements and the level of cover needed. He'd ticked the first level of cover, being 'standard' cover, which was defined in the form, and didn't include cover for theft. He also didn't opt for available theft cover. T&R said that the previous policy ran to its end date but that the cover wouldn't have offered protection, as it was for an occupied property. It said that it couldn't advise on the appropriate level of cover as only Mr F knew what contents would remain at the property.

T&R said that by its nature, a vacant property undergoing renovation presented a different risk to the previous risk, and the underwriting criteria would be different, so the form provided a full representation of the risk. In returning the form, Mr F had said *'I have completed and signed the Unoccupied Property Insurance Form and hope this gives you and the underwriter all that you need.'* The proposal form also included the following wording; - *'if you are in any doubt as to the completeness and accuracy of the statements and facts you are providing you should consult with your Insurance advisor'*. It said that Mr F also had the opportunity to review his policy documents, and also had the usual cooling-off period to raise any queries or concerns.

As to Mr F's complaint about T&R's failure to alert and advise him that the new policy was *'deficient'* in comparison with the pre-existing policy and that it specifically excluded theft, T&R said that it had acted in accordance with Mr F's proposal, and he hadn't requested cover for theft. It said that when listening to the relevant call recording, Mr F had confirmed when taking out the policy that there was *'nothing of substantial value left at the property, only...office equipment, furniture and books and that no personal items or jewellery and nothing of great value will be within the property and any items are to be locked in a room on the third floor.'* It didn't agree that Mr F had specifically requested the same level of cover in all respects as his previous policy.

Thirdly, T&R addressed Mr F's point that, as it took over two months for T&R to realise that Mr F wouldn't be covered by the unoccupied property insurance policy, this showed that it didn't have a clear understanding of the policy. T&R's response was that the underwriters were the only ones that could say whether a claim was valid or to be repudiated. It said;- *'T&R... do not have claims authority and the final decision to pay any claims are at the liability of the claims team appointed by the insurer.'* It said that as T&R wasn't authorised to process claims, it had to contact the insurer for an outcome on the status of the claim. As to the fact that it had chased progress, T&R said this wasn't evidence that it thought that the claim would be paid by the insurers but an acknowledgement that because of the delay, it would push the claim through for a decision.

Finally, as to whether T&R had mis-sold the policy on an 'advised' basis, T&R said that the policy was sold on a non-advised basis as the proposal form had been completed by Mr F and; - *'no advice was given on the cover levels chosen and no questions were asked by Mr F on the cover level opted for.'* In short, it said that it had acted on Mr F's instructions. T&R acknowledged that if it had provided advice on what portions of the form should be completed, it would have been an advised sale, but said that this was not the case. In relation to one additional administrative point raised, Mr F had said that he'd been offered a 'goodwill gesture' by T&R when it realised that the policy was inadequate and that this was an *'instant declaration of guilt...'* In this respect, T&R stated that this wasn't an admission of a mis-sale but related to the return of premiums by the insurer following mid-term cancellation.

I now turn to the reasons why I've reached the final decision that T&R hasn't acted in an unfair or unreasonable manner here. I fully appreciate the distress which Mr F experienced

following theft of new and expensive appliances. I also appreciate that Mr F will be frustrated and angered that his insurance claim has been declined and I note that the decline is a matter of separate complaint. I will now deal with each element of the current complaint.

Whether T&R recommended an unsuitable policy

I note that Mr F had informed T&R of the proposed works and the fact that the property would be unoccupied. T&R then identified the fact that Mr F's existing home insurance policy would be unlikely to cover him due to non-occupation. It sought to source an insurer to provide an alternative policy, in this case an unoccupied property owner's policy. In summary, it's clear that T&R advised Mr F that a standard home insurance policy would no longer cover him as the property would be unoccupied and it attempted to assist to find a suitable policy.

I note that Mr F's adviser considered that a different type of policy would be more appropriate, namely a Residential Unoccupied policy with a works extension. It's not necessary for me to determine which of these types of policy would have been preferable as I don't consider the policy opted for to be inherently unsuitable. I'm satisfied that the policy did cover scenarios where the property was unoccupied, whether as landlord or as residential owner. As to works, I note Mr F had indicated that he wished to avoid duplication and that the relevant builder had insurance in place. The relevant policy terms and conditions determine the cover and purpose of the policy, and the proposal form offered the opportunity of cover for theft.

In the circumstances, I'm satisfied that T&R didn't treat Mr F in an unfair or unreasonable manner in sourcing and identifying cover under an unoccupied property owner's policy.

Whether T&R should have advised that theft wasn't covered

I'm satisfied that it would have been apparent that non-occupation was a significant matter in view of T&R's indication that Mr F's current home insurance policy wouldn't cover him. It's also clear that theft would be a more significant peril where a property wasn't occupied. It's therefore reasonable that Mr F should have appreciated that the standard cover for a new and different type of policy didn't automatically offer like for like cover. Mr F ticked in hand-writing the standard cover paragraph which had a clear definition, and this didn't include theft. He also opted not to tick the extended cover boxes, one of which clearly referred to '*theft*' as a peril for extended cover. The complaint suggests that T&R should have checked the form, to make sure that Mr F had completed it correctly. I disagree, as Mr F had made clear, hand-written choices for a new and different type of policy to cover the altered circumstances.

Standard cover is defined as including '*...fire, lightning, explosion, aircraft only*'. The word '*only*' emphasises the limitations in cover. The extended cover and option heading, shown in bold, includes theft, however this was not chosen by Mr F, and I can't therefore hold T&R responsible for this choice. I also note that Mr F gave the proposal form some thought as he'd added in some hand-written comments. From the form and his e-mail exchanges with T&R, Mr F appeared to be clear and confident in his understanding of the policy cover and about his requirements. T&R had made it clear that if there was anything else it could do to help, then Mr F should let it know. He didn't reach out for assistance, and I'm therefore satisfied that Mr F made an informed choice. I further note that the policy schedule was sent through to Mr F and there is a clear instruction in that document for policyholders to carefully read it. Mr F's adviser confirms that Mr F had read this document.

It also appears that Mr F had actively considered the question of security and whether he needed cover for theft as follows: - '*nothing of substantial value left at the property, only your*

office equipment, furniture and books and that no personal items or jewellery and nothing of great value will be within the property and any items are to be locked in a room on the third floor.' This supports the conclusion that it wasn't unfair or unreasonable for T&R to consider that Mr F had satisfied himself as to the need or otherwise for theft cover and didn't require further assistance before finalising his wishes. Whilst Mr F specifically requested advice on some aspects, such as the level of excess to be paid and the level of financial cover, I note that he didn't seek any specific advice on the question of theft as an insured peril.

I don't however consider that it was fair for T&R to suggest that Mr F specifically opted against theft cover. It may well be the case that he did so by mistake, and possibly hadn't fully read what he was completing and signing. On balance however, I don't consider that T&R acted in an unfair or unreasonable manner by not specifically pointing out that theft wasn't included as standard, or by not double-checking Mr F's understanding with him after he'd completed and signed the form.

Whether T&R had made representations that the claim would be settled

I'm satisfied that as T&R was acting as insurance broker, it would have been unable to determine whether a claim would ultimately be paid or declined. I do consider that it would have been helpful however, if T&R had identified to Mr F at the point of claim that he hadn't opted for theft cover in his proposal form. This would have managed Mr F's expectations as to whether his claim would be paid. Nevertheless, I don't consider that this observation as to how T&R could have achieved best practice merits an award of compensation.

Whether T&R had mis-sold the policy to him and had done so on an 'advised' basis

A mis-sale is usually deemed to occur where a customer is unhappy with what they bought or where that product wasn't the right thing for them. In this case, as above, I can't say that the product was inherently unsuitable. The policy was indeed capable of covering theft as a peril and in the scenario which occurred here. The difficulty arose however during the proposal stage as Mr F didn't opt for this cover, again as discussed above. In the circumstances, I don't consider that T&R mis-sold the policy in question.

As to 'advised' and 'non-advised' sales, again the service has a settled approach. If a sale is advised, it will normally say so in the documentation given to the consumer, and I've not seen any evidence that this is the case here. I've also considered whether T&R's actions gave the impression that it was recommending that Mr F proceed with the policy but without theft cover. I don't consider that it did. It provided information and a proposal form to Mr F, leaving it to him to decide if the policy was suitable to meet his needs. I also consider that the information in the proposal form was clear and easy to understand, allowing the consumer to decide what level of cover was appropriate.

I've also carefully considered the question of whether the proposal form and the resulting policy was unusual or exceptional, so triggering a requirement for T&R to specifically draw Mr F's attention to the different options within the proposal form. I agree that it would be unusual for a home insurance policy not to include theft cover as standard, however this is not the case for non-occupied properties, as above. As the occupation status was different, the available policy was also very different. I consider that the onus would then fall upon the consumer to ensure that all elements of cover were suitable for their needs. If T&R had provided full advice about completion of the form, I think there would then have been an additional duty on it to ensure that the policy it had identified was suitable for Mr F's needs. However, this is not the case. I'm therefore satisfied that the policy was sold on a 'non-advised' basis. Whilst T&R selected the unoccupied property owner's policy as a likely route for cover, the proposal form and policy were sent to Mr F so that he could assure himself that the cover was appropriate. This also enabled Mr F to select the cover needed and make

an informed decision as to whether he wanted to proceed with the policy or not. T&R didn't conduct this process on his behalf, and this also points to a 'non advised' sale.

Mr F argued that he was reliant on T&R's advice as his broker. However, I conclude that Mr F was capable and robust in his correspondence and would have been willing to ask for assistance had he considered anything to be unclear or missing from the cover he'd selected. The new insurer identified the need to fill a proposal form, before offering any insurance, and the declaration on the form clearly indicated that the onus then fell upon Mr F to complete the form correctly, with the assistance of his broker if he'd asked for it.

In summary, I note that Mr F accepted that T&R had '*deferred completion*' of the form to him, he didn't seek advice on its completion or on the contents of the policy having read it and I'm therefore satisfied that completion of the insurance proposal, and acceptance that the policy fulfilled his needs were conducted on a non-advised basis. As an unoccupied property presents clearly different risks to occupied property, I'm satisfied that a consumer would wish to take care to ensure that they check the position carefully before signing any declaration. Mr F took responsibility for completing and signing the form and didn't take opportunities to query the cover or ask for any clarification and received no advice from T&R in this respect.

The question of whether theft is covered in the policy is the subject of a separate complaint. Whether it's determined that such complaint should or shouldn't be upheld, I'm satisfied that T&R didn't mis-sell the policy to Mr F and when it arranged the policy for Mr F, I consider in all the circumstances, that it did so on a 'non-advised' basis. I can't therefore say that T&R acted in an unfair or unreasonable manner here.

In all the circumstances, I won't be asking T&R to do anything else in response to this complaint and I consider this to be a fair and reasonable outcome in all the circumstances.

My final decision

For the reasons given above, I don't uphold Mr F's complaint and I don't require T&R Direct Ltd to do any more in response to his complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr F to accept or reject my decision before 10 March 2023.

Claire Jones
Ombudsman